

Micron Technology, Inc.

MU NASDAQ

Hold	\$937.11 ▼ 0.39%	12M Price Target \$1050.00	52-Week Range \$114.25 – \$1255.00	Market Cap N/A
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MU: Memory Mania Cools After Wild Run to \$1,000+

WHAT HAPPENED

- Stock is digesting a massive move — hit \$1,011 on Aug 17 then dropped ~7% in two sessions to \$937. This isn't news-driven; it's profit-taking after a monster run. The Druckenmiller headline (billionaire investor who famously sold Nvidia too early) hints that even smart money is questioning whether the memory trade is getting late-innings.
- Barron's flagged that Micron is NOT joining the memory buyback party "yet" — meaning while competitors like SK Hynix and Samsung return cash to shareholders, Micron is hoarding it for capex. That's a tell: management sees more runway to invest in HBM capacity than to prop up the stock.

WHY IT MATTERS

The pullback isn't a red flag — it's what happens when a stock triples in six months and needs to breathe. But here's the bigger signal: Cramer is pounding the table, retail is piling in via unusual call activity (\$19M notional on \$930 calls), and Druckenmiller is reportedly out. When the smart money exits and the loud money enters, you're usually in the late innings of the trade — not the end, but past the easy money. The insider sales on Aug 10 at ~\$202 (which appears to be a stock-split-adjusted figure, or possibly restricted stock vesting given the "OTHER" transaction type) aren't panic selling but they're also not confidence signals. Bottom line: the fundamental story (HBM shortage, AI capex tsunami) is still intact, but the risk/reward isn't as juicy as it was at \$300.

POLICY & POLITICAL WATCH

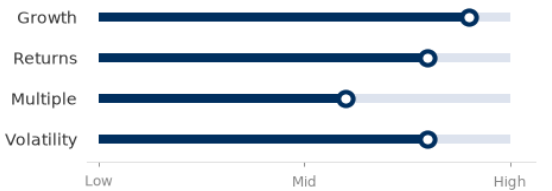
Micron is the biggest single beneficiary of the CHIPS and Science Act — they've committed \$100B+ to US fabs in New York and Idaho, with billions in federal grants and tax credits already flowing. Watch two things: (1) any Congressional attempt to renegotiate or claw back CHIPS Act awards (there's been chatter about tying disbursements to stricter workforce/wage requirements) — that would spook the stock; (2) tariff policy on Chinese memory makers like CXMT (China's rising DRAM competitor). The current administration's export controls on advanced memory to China are effectively a moat around Micron's business — any softening in that stance during trade negotiations would be a real headwind, while further tightening is pure tailwind.

IS IT EXPENSIVE?

Key Data

Price (USD)	\$937.11
12M Price Target	\$1050.00
Upside / (Downside)	+12.0%
Market Cap	N/A
FY2026E Revenue	\$52,000M
FY2027E Revenue	\$68,000M
FY2026E EPS	\$42.50
FY2027E EPS	\$58.00
Fwd P/E	22.0x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$1050.00	\$950.00	\$850.00
6 Months	\$1300.00	\$1050.00	\$780.00
1 Year	\$1500.00	\$1100.00	\$700.00
2 Years	\$1800.00	\$1250.00	\$600.00
5 Years	\$2500.00	\$1500.00	\$500.00
10 Years	\$4000.00	\$2000.00	\$400.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.5% today, +4.3% on the week) is ripping — likely a rotation trade as investors take profits from red-hot tech/semis and look for laggards. Consumer Discretionary also firm as rate-cut expectations build.

COOLING OFF: Semis aren't in the top movers today — that's notable. After leading all year, chips are taking a breather as money rotates. Not a crisis, just profit-taking.

ROTATION WATCH: Money is moving OUT of the AI/semi trade and INTO defensives (healthcare, staples) — classic late-cycle behavior. If this rotation continues for more than a week, MU could see another leg down before finding support.

RELATED PLAY: If you like the memory thesis but want less crowded exposure, look at the memory equipment names — Lam Research (LRCX) and Applied Materials (AMAT) — they sell picks and shovels to Micron and Samsung both, and haven't run as hard.

WHO'S WINNING IN THIS SPACE?

- NVDA (Nvidia): Still the king of the AI trade — every Micron HBM chip ends up on a Nvidia GPU, so they're joined at the hip.
- AVGO (Broadcom): Custom AI silicon for hyperscalers keeps winning; less cyclical than pure memory.

MU CONTEXT: Micron has been LEADING the semi group in 2026 (up 300% first half per the Druckenmiller article), but is now lagging on the pullback — which is normal for the highest-beta name in a group. The tell will be whether it bounces off \$900 or breaks lower; a break of \$880 would suggest the rotation is real and there's more downside.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio (trim if you rode it up)

Entry Points: \$850-880 on pullbacks; don't chase above \$1000

Time Horizon: 12-24 months

Thesis Invalidation: HBM pricing rolls over, hyperscaler capex cuts, or CHIPS Act funding gets clawed back

Hedging: Pair with a short on a smaller memory name or buy SOX puts to protect against a sector-wide correction